

Executive Session Discussion – 1/23/19

RE: In-Lieu-of-Insurance (Compensation for Employee)

An “In-Lieu-of-Insurance” Stipend is offered to those staff who opt out of the board-paid medical benefits for a plan year, October 1st through September 30th.

The stipend, equal to \$1,500 is typically issued the first pay of October, following the opt-out period. A form must be submitted to Treasurer’s office in September, prior to the plan year opt out.

Prior to my arrival as Treasurer, the District paid the stipend based on a percentage of their contract position. For example:

100% = \$1,500 (full time)
83.33% = \$1,250
75.0% = \$1,125 (30hrs/week)
66.67% = \$1,000
50.0% = \$750

In 2015, our employee, **Susan Yager**, moved from 66.67% (27hrs) to 75% (30hrs). As a result, she received a stipend of \$1,125 in 2015, 2016 & 2017.

However, prompted by Ms. Yager’s inquiry this past October, 2018, and upon further review of the Negotiated Agreement, it was discovered that “full time” staff for payment of in-lieu-of-insurance purposes, includes **any staff working 30 hours or more** a week.

Upon realizing the discrepancy between contract language and our actual past practices, this past October, 2018, we paid Ms. Yager the full \$1,500.

In addition, I conferred with legal counsel (Bill Pepple) to review the district’s responsibility to pay the differential from the previous three years. He stated that we are not contractually obligated and the employee was well beyond the 30-day grievance period, thus waiving her right to effectively grieve. I informed Ms. Yager (as well as our Payroll & HR) on October 31, 2018, that we would not be reimbursing her for prior years or at total of \$1,125 (\$375 x 3).

Fast forward to December 27, 2018...Joelle received an inquiry from Tad Colbeck, BEA/OEA rep, about payment for prior years, as outlined above. I then confirmed with Mr. Pepple again and he stated payment *required board approval*, since the District does not have contractual obligation.